PRIORITY 4 OF 33 · SCORE 3.9

Homeland Security (CBP, FEMA)

DHS is the biggest new opportunity outside the original eight, for two reasons. First, customs duty evasion has become a top DOJ priority: a joint DOJ and DHS Trade Fraud Task Force started in August 2025, and the largest customs False Claims Act settlement to date ($54.4M) came in December 2025. Evasion through shell importers and false country of origin is a close cousin of SBA shell-entity fraud. Second, FEMA disaster aid has a long fraud history and publishes recipient-level data through OpenFEMA.

INVESTIGATIONS WE PROPOSE

DHS-1 Mirror trade gaps by product and country, then the importers behind them. **First prototype.** One-page pitch available.

DHS-2 Shell importers appearing after tariff changes.

DHS-3 FEMA contractors that are new, out of area or tied to excluded parties.

EXPOSURE

- Customs: DOJ announced three Task Force resolutions totaling over $100M on 2025-12-18, including Ceratizit ($54.4M, Chinese goods declared as Taiwanese). CBP reports 1,200 investigations from revenue allegations.
- FEMA: Public Assistance reported $0.3B improper in FY2025 (GAO); disaster grant and contractor fraud recur after every major storm.
- DHS's own contracts (CBP, ICE, FEMA) run through FPDS like DoD's.

PUBLIC DATA WE USE

- **Vessel manifest data:** public by regulation (19 CFR 103.31) and resold by commercial vendors; names importers, shippers and goods.
- **Census trade statistics:** imports by product and country, for mirror checks against partner-country exports.
- **CBP EAPA and penalty notices**, DOJ customs settlements.
- **OpenFEMA:** Public Assistance projects, Hazard Mitigation awards, and housing assistance aggregates.
- **FPDS / USAspending and SAM.gov** for DHS contractors.

SCORECARD

Fraud savings identified
Pending

Phase 1 window
Weeks 6–10
Dec 7, 2026 to Jan 22, 2027

Workstream
Wave 1 and Wave 2 deep dives

FY2026 outlays
$259B · budget rank 6

Leads go to
CBP, HSI, Trade Fraud Task Force, FEMA FIID

WHY PRIORITY 4

Exposure	●●●●○
Public data	●●●○○
SBA method fit	●●●●○
Actionability	●●●●●

HOW WE DETECT IT

1. **Transshipment signals:** product lines where US imports from a country far exceed that country's recorded exports to the US, then the importers driving the gap.
2. **Shell importers:** new importers of record that share addresses or officers with firms under penalty, or that appear right after a new tariff.
3. **Disaster contractors:** new or out-of-area firms winning FEMA work fast, shared owners across bidders, and payees tied to excluded parties.

FIRST PROTOTYPE

A tariff-evasion lead list for two high-duty product groups (for example aluminum extrusions and plastic resin), built from mirror trade gaps and manifest data, with importer risk scores and reasons. Validate against settled cases.

OUR REVIEW, DELIVERED WEEK 10

Importer lead list with reasons for two product groups; FEMA contractor table; review memo.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF DHS

Phase 2 data: CBP entry data (ACE: declared value, origin, duty), FEMA applicant and payment data.

What it enables: Importer-level underpayment; duplicate disaster claims.

Access route: CBP Office of Trade; HSI; FEMA FIID.

LIMITS

Entry-level customs data (declared value, duties paid) is not public, and good manifest coverage needs a paid vendor. Customs fraud cuts revenue, not spending, so it sits outside improper payment reporting.

SOURCES

- Akin Gump: DOJ year-end customs fraud enforcement (Jan 2026)
- Morgan Lewis: DOJ establishes Trade Fraud Task Force (Sept 2025)
- 19 CFR 103.31: public vessel manifest information
- GAO-26-108694: FY2025 improper payments
- OpenFEMA data sets

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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